

UK Construction SMEs: AI Adoption and Operational Readiness, 2026

A five-dimension current-state report



12 August 2026

Prepared by Benedek Moricz

EXECUTIVE BRIEF

Large SME reach; uneven operational readiness

Construction is the recommended next sector because it combines the largest registered-SME frame in the shortlist with below-benchmark AI use, thin integration and a very limited policy signal. The official sector estimates are not SME-only.

384,525 registered SMEs SIC F, VAT/PAYE, March 2025	21.5% any listed AI use 95% CI 14.2%-28.8%; base about 330	3.1% AI guidance AI users; 95% CI 0%-9.2%; base about 100
--	---	--

What can be said

- AI experimentation is visible in construction, but there is no defensible SME-only adoption rate.
- Integration and policy estimates are conditional on AI use and are imprecise.
- The evidence supports bounded workflow experiments, not autonomous construction decisions.

What cannot be said

- The UKBDS percentages cannot be multiplied by the ONS SME count.
- No source establishes sector-wide productivity, profit, safety or compliance effects.
- The readiness dimensions are an organising framework, not a maturity score.

01 SECTOR AND PRIORITY

Why construction follows accounting

Candidate	Registered SMEs	AI use	Weighted score
Construction	384,525	21.5%	4.80 / 5
Manufacturing	128,950	31.9%	4.30 / 5
Retail	212,455	29.6% broad proxy	4.25 / 5
Technology	122,310	58.2% broad proxy	3.40 / 5
Finance	56,035	43.0%	3.20 / 5
Legal	33,360	50.6% broad proxy	3.05 / 5

The score is a transparent judgement aid

Weights cover registered-SME reach, adoption/readiness gap, authoritative evidence, simulator fit and portfolio distinctiveness. The score is not a statistical model, market-demand measure or willingness-to-pay estimate. A sensitivity that doubles evidence coverage still leaves construction narrowly ahead of manufacturing.

Population boundary

The ONS frame covers VAT and/or PAYE-registered enterprises in SIC divisions 41, 42 and 43 with 0-249 employees. Counts are control-rounded and exclude unregistered businesses.

02 FIVE READINESS DIMENSIONS

Task use has moved ahead of operating controls

Dimension	Evidence signal	Decision implication
AI use	21.5% any listed AI use; all construction business sizes	Treat the estimate as sector context, not SME prevalence
Integration	14.0% among construction AI users; CI 1.9%-26.2%	Test one workflow and keep manual fallback
Governance	3.1% policy/guidance among AI users; CI includes zero	Name approved use, data rules, review and incidents
Use cases	Tender preparation, documents, scheduling and coordination	Begin with bounded, reviewable information work
Pathway	Use and pilots are more visible than organisation-wide deployment	Scale only after quality and total effort are measured

The widest gap is not access to a chatbot. It is the ability to connect an approved tool to a defined workflow with traceability, human review and a stop rule.

Direct industry context

In the global RICS survey, 45% reported no AI implementation, 34% an early pilot, just under 12% regular use in specific processes and less than 1% organisation-wide use. The sample is global, 48% UK and not SME-only.

03 PRACTICAL IMPLICATION

Start with controlled document work

Tender requirement extraction and evidence matching offer a testable entry point because inputs, source clauses, omissions, citations and review decisions can remain visible. The experiment should exclude final pricing, programme commitments, method statements, safety judgements and regulatory conclusions.

Minimum pilot measures

Measure	Baseline and pilot question
Preparation	How many person-hours are used before review?
Review	How much qualified review and correction are required?
Coverage	How many mandatory requirements are identified and evidenced?
Traceability	Can each material statement be linked to an approved source?
Quality	What omissions, unsupported claims and rework occur?
Control	Are incidents, overrides, owners and rollback recorded?

A positive time signal is not ROI. Licences, setup, training, correction, assurance, incidents and opportunity cost remain inside the decision boundary.

04 SOURCES AND LIMITS

Traceable evidence; bounded conclusion

1. ONS - UK business: activity, size and location 2025

<https://www.ons.gov.uk/businessindustryandtrade/business/activitysizeandlocation/datasets/ukbusinessactivitysizeandlocation>

2. DSIT - UK Business Data Survey 2026

<https://www.gov.uk/government/statistics/uk-business-data-survey-2026>

3. DSIT - What works for AI upskilling in UK construction

<https://www.gov.uk/government/publications/skills-for-ai-what-works-for-ai-upskilling-in-the-uk/research-evidence-analysis-and-methodology-what-works-for-ai-upskilling-in-the-uk>

4. RICS - Artificial intelligence in construction report 2025

<https://www.rics.org/news-insights/artificial-intelligence-in-construction-report>

5. DBT - Understanding technology adoption among UK SMEs

<https://www.gov.uk/government/publications/understanding-technology-adoption-among-uk-smes>

Conclusion

Construction is a defensible next-sector research priority. The current evidence supports a controlled workflow test and a visible governance layer. It does not support an exact construction-SME adoption rate or a promise of business benefit.

Descriptive secondary research only. Not construction, safety, legal, regulatory, procurement or investment advice.